

MGT101 QUIZ 01 SOLVED BY SAHIRULLAH

Financial Accounting - Complete Revision Guide

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Q1. Excess of expenses over income in a specified accounting period is called:

Profit

Income

Surplus

Loss ✓

Q2. When total liabilities are subtracted from total assets the remaining amount is known as:

Cost of goods sold

Expenses

Equity or Shareholders' equity ✓

None of the given options

Q3. Which voucher is used as proof that creditor Mr. A's outstanding amount has cleared?

Cash receipt voucher

Journal voucher

Cash payment voucher ✓

None of the given options

Q4. Commission earned account will fall under which classification of accounts?

Expenses

Revenues ✓

Assets

Liabilities

Q5. Which of the following is TRUE regarding Discount allowed to a debtor?

It is a revenue

It is a liability

It is an expense ✓

It is an asset

Q6. Which of the following can be used in the calculation of cost of goods sold?

Purchases

Closing stock

Opening stock

All of the given items ✓

Q7. Owner's Equity = ?

Capital + drawings

Capital + expenses

Capital + profits ✓

Capital – revenues

Q8. Which of the following is WRONG?

Nature of Expenses is Debit

Nature of Liabilities is Debit ✓

Nature of Assets is Debit

Nature of Owners' Equity is Credit

Q9. Which of the following is used to record the business transaction in the books of accounts as a book of first and prime entry?

Balance sheet

Income statement

General ledger

General journal ✓

Q10. The fees earned account will fall under which of the following classification of accounts?

Expenses

Revenues ✓

Assets

Liabilities
